PENNSYLVANIA MEDICAL BILL DEFENSE TOOLKIT & LEGAL REFERENCE

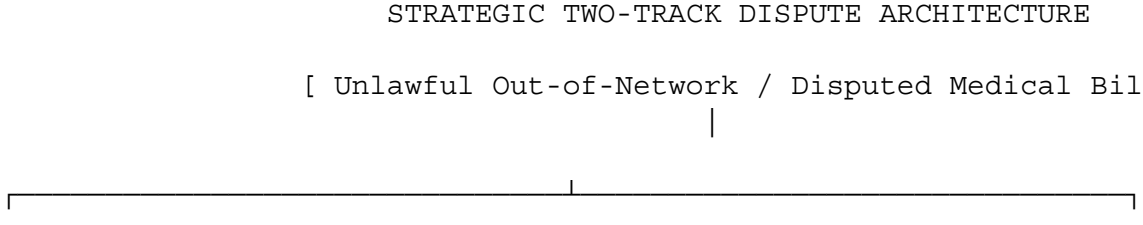
Action Guide and Statutory Framework for Pennsylvania Consumer Advocacy

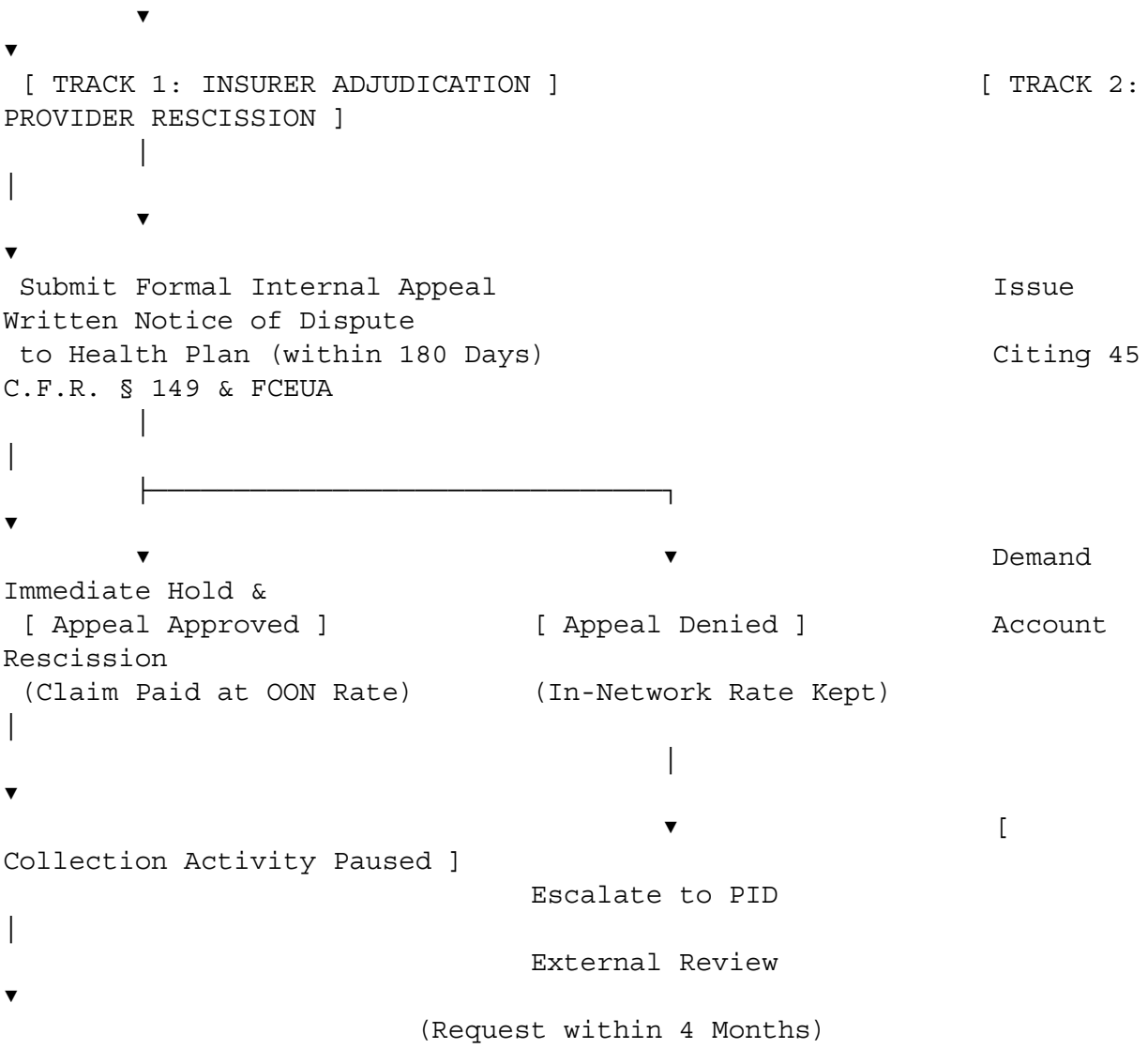
⚠️ CRITICAL WARNINGS & PROCEDURAL SAFEGUARDS

- **NEVER IGNORE COURT SUMMONS OR COMPLAINTS:** Expiration of Pennsylvania's 4-year statute of limitations (\text{42 Pa.C.S. § 5525(a)}) does **not** automatically dismiss a lawsuit. Under **Pa.R.C.P. 1030**, the statute of limitations is an **Affirmative Defense** that must be explicitly raised under "New Matter" in a formal Answer. Failure to plead it constitutes a permanent waiver of the defense.
- **CAUTION ON PARTIAL PAYMENTS & ACKNOWLEDGMENTS:** A partial payment on an old debt can restart the 4-year limitations period, so get legal advice before paying anything on a debt older than four years. Under Pennsylvania's common-law Acknowledgment Doctrine, a payment restarts the period only if it is a clear, unequivocal acknowledgment of the specific debt, from which a promise to pay can be inferred. No Pennsylvania statute sets a bright-line rule, so whether a particular payment qualifies depends on the specific facts. Before paying, signing a payment plan, or writing anything that acknowledges the debt, consult legal aid or an attorney.
- **DISTINGUISH LIVE DEBTS FROM TIME-BARRED DEBTS:** During an active dispute, the general advice is not to pay unless counsel advises otherwise. Non-payment has real risks: a live, enforceable debt can go to collections, be reported to credit bureaus, or result in a lawsuit. Withholding payment is a strategic approach for disputed, noncompliant, or time-barred claims—not a blanket rule for every bill.
- **PRESERVE INSURANCE APPEAL TIMELINES:** Internal ERISA/ACA appeals must be filed within 180 days of receiving an adverse benefit determination (EOB). Request a Pennsylvania Insurance Department (PID) external review within four months of the insurer's final adverse benefit determination.

PART 1: THE TWO-TRACK DISPUTE ARCHITECTURE

When contesting unlawful medical debt or out-of-network balance bills, consumers must execute a dual-track strategy to separate coverage adjudication from collection enforcement:





1. **Track 1: Insurer Coverage Adjudication**
    - Targets the health plan's claim calculation and cost-sharing determination.
    - If a commercial health plan miscalculates cost-sharing or denies No Surprises Act protections, submit an internal appeal within 180 days. If denied, request a PID Independent External Review within four months of the final adverse determination.
    - *Note on Plan Types & External Review Timelines:* PID external review applies to state-regulated, fully insured plans (governed by Act 146 of 2022). Self-funded ERISA plans use the federal external review process instead. PID guidance provides an eligibility determination within approximately 5 business days, 15 business days to submit records, and a decision within 45 days of assignment. Overturn figures from PID's first-year report (~50.1%, or 259 of 517 filers) reflect historical program metrics and should not be presented as a prediction.
2. **Track 2: Provider & Collection Rescission**
    - Targets the billing department, hospital, or third-party debt collector.
    - Issues a formal Notice of Statutory Dispute invoking the No Surprises Act (\text{45 C.F.R. Part 149}), IRS Section 501(\text{r}) rules (\text{Treas. Reg. § 1.501(r)-6},

counsel to confirm), the PA Fair Credit Extension Uniformity Act (\text{73 P.S. § 2270.4}), and PA contract limitations (\text{42 Pa.C.S. § 5525(a)}) to freeze collection activity.

PART 2: CONSUMER ACTION CHECKLIST

Step 1: Triage Your Bill (5 Minutes)

- **Emergency or Out-of-Network Ancillary Care?** (Anesthesia, radiology, pathology at an in-network facility) \rightarrow Protected under the No Surprises Act (\text{45 C.F.R. § 149.110} / § 149.120). Capped at in-network Qualifying Payment Amount (QPA) cost-sharing.
- **Non-Profit Tax-Exempt Hospital?** \rightarrow Protected under Treasury Regulation \text{§ 1.501(r)-6} (*counsel to confirm*; 120-day ECA prohibition window; 240-day FAP application window). Applies strictly to 501(c)(3) hospitals.
- **Debt Age > 4 Years from Default?** \rightarrow Time-barred under \text{42 Pa.C.S. § 5525(a)}.

Step 2: Assemble Evidence (Day 1)

- [ ] Itemized billing statement from provider
- [ ] Explanation of Benefits (EOB) from insurer
- [ ] Copies of insurance cards (front and back)
- [ ] Intake documents and notice/consent waivers (if any)
- [ ] Audit log documenting initial statement date and actual default date (accrual_date)

Step 3: Serve Written Statutory Dispute & Debt Validation (Days 1 \text{--} 30)

- Send via **USPS Certified Mail with Return Receipt Requested**.
- Include written debt validation request under \text{15 U.S.C. § 1692g} (within 30 days of receiving the initial collection notice for third-party collectors).
- Include explicit non-acknowledgment phrasing to avoid restarting limitation clocks under the Acknowledgment Doctrine.

Step 4: Administrative Regulatory Escalation (Days 30 \text{--} 60)

If collectors fail to verify or continue collection during an active dispute, file concurrent complaints with:

- **PA Insurance Department (PID):** 1\text{-}877\text{-}881\text{-}6388 (\text{insurance.pa.gov}) for state-regulated plans.
- **CMS No Surprises Help Desk:** 1\text{-}800\text{-}985\text{-}3059 (\text{cms.gov/nosurprises}) for self-funded ERISA or federal issues.
- **PA Attorney General (Bureau of Consumer Protection):** 1\text{-}800\text{-}441\text{-}2555 (\text{attorneygeneral.gov}) for FCEUA / UTPCPL debt collection violations.

PART 3: DISPUTE LETTER TEMPLATES

Template A: Notice of Statutory Dispute & Balance Billing Invalidation

[Your Full Name]
[Street Address]
[City, PA ZIP]
[Phone] | [Email]

[Date]

VIA CERTIFIED MAIL, RETURN RECEIPT REQUESTED
Tracking #: [Number]

[Provider / Hospital Billing Department / Collection Agency Name]
[Street Address]
[City, State ZIP]

Re: Formal Notice of Statutory Dispute & Demand for Verification / Rescission
Account / Reference #: [Account Number]
Date(s) of Service: [Dates]
Disputed Balance: $[Amount]

Dear Billing Manager / Collections Supervisor:

I am writing to formally dispute the balance referenced above. Please treat this communication as a formal written dispute and demand for verification.

1. Federal No Surprises Act Protections (45 C.F.R. Part 149)
The services rendered on [Date] constituted [emergency services / out-of-network ancillary services (anesthesiology, radiology, pathology, assistant surgery) performed at an in-network facility]. Under 45 C.F.R. § 149.110 and § 149.120, out-of-network providers are prohibited from balance billing patients beyond established in-network cost-sharing based on the Qualifying Payment Amount (QPA). No valid, timely notice-and-consent waiver complying with 45 C.F.R. § 149.420 was executed. Pursuant to 45 C.F.R. § 149.510, reimbursement disputes must be resolved directly between your entity and my health plan via Federal Independent Dispute Resolution (IDR).

2. Pennsylvania Fair Credit Extension Uniformity Act (73 P.S. § 2270.4)
Pursuant to 73 P.S. § 2270.4, attempting to collect amounts that are not legally owed or pursuing collection activity while an account is

formally disputed constitutes an unfair debt collection practice. Under 73 P.S. § 2270.5(a), a violation of the FCEUA may support private consumer remedies under the Pennsylvania Unfair Trade Practices and Consumer Protection Law (UTPCPL), 73 P.S. § 201-1 et seq.

3. Non-Acknowledgment of Debt
Nothing in this letter admits liability, acknowledges the debt, or promises payment. I dispute this balance and am not making any payment or payment arrangement while the dispute is pending. This letter is not an acknowledgment of the debt for any purpose.

4. Demand for Remedial Action
Please take the following actions within thirty (30) days:
a. Freeze all active collection efforts, telephonic demands, and credit bureau reporting.
b. Rescind the out-of-network balance charge, adjusting patient responsibility to $0.00 (or the verified in-network cost-sharing level).
c. Provide written confirmation that this account has been adjusted or returned to the primary creditor.

Sincerely,

[Signature]
[Printed Name]

Template B: Regulatory Complaint Narrative (PA Insurance Department & IRS)

REGULATORY COMPLAINT NARRATIVE
For submission to: PA Insurance Department Consumer Services Bureau / IRS Form 13909 Attachment

1. PARTIES & ACCOUNT IDENTIFICATION
- Complainant: [Your Full Name]
- Healthcare Facility / Provider: [Provider Name] (EIN: [Facility EIN, if applicable])
- Health Plan / Insurer: [Insurance Carrier Name]
- Account Reference #: [Account Number]
- Date(s) of Service: [Date]
- Disputed Balance: $[Amount]

2. STATEMENT OF STATUTORY VIOLATIONS
A. No Surprises Act Violation (45 C.F.R. Part 149): Complainant received out-of-network ancillary/emergency services at an in-network

facility. The provider issued a direct balance bill exceeding in-network cost-sharing limits without obtaining a valid notice-and-consent waiver under 45 C.F.R. § 149.420.

B. IRS Section 501(r) Non-Compliance (Treas. Reg. § 1.501(r)-6, counsel to confirm): The target facility is organized under IRC § 501(c)(3). The facility initiated Extraordinary Collection Actions (ECAs) / collection transfers prior to completing reasonable efforts to determine Financial Assistance Policy (FAP) eligibility within the mandatory notification windows.

C. PA FCEUA & Consumer Protection Exposure (73 P.S. § 2270.4 / 73 P.S. § 201-1): Continued collection demands during an active statutory dispute constitute deceptive practices under the Fair Credit Extension Uniformity Act, supporting potential claims under the UTPCPL.

3. REQUESTED ADMINISTRATIVE RELIEF
1. Direct the provider/facility to cease all collection enforcement and recall the account from third-party agencies.
2. Compel reprocessing of the claim at in-network cost-sharing levels based on the QPA.
3. Initiate an administrative audit regarding 501(r) ECA compliance and FCEUA debt collection practices.

PART 4: STATUTORY REFERENCE & CASE LAW MATRIX

Authority / Citation	Legal Scope & Rule	Consumer Defense & Litigation Impact
No Surprises Act (\text{45 C.F.R. Part 149})	Caps patient liability for emergency & ancillary care at in-network QPA rates.	Removes patient from payer-provider payment disputes; mandates Federal IDR.
IRS Section 501(r) (\text{Treas. Reg. § 1.501(r)-5}, *counsel to confirm*)	Non-profit 501(c)(3) hospitals must wait \ge 120 days post-statement before ECAs and allow \ge 240 days for FAP applications.	No private right of action; consumers can use rules to request written FAP screening and pause collection.
PA Contract Limitations (\text{42 Pa.C.S. § 5525(a)})	Sets 4-year statute of limitations on contract claims generally running from breach or default (*counsel to confirm accrual date for specific account*).	Absolute defense against untimely suits; **must be pleaded under Pa.R.C.P. 1030 (New Matter)** or waived.
PA Acknowledgment	Payment or written promise	Fact-dependent. Get legal

Authority / Citation	Legal Scope & Rule	Consumer Defense & Litigation Impact
Doctrine (Common Law)	restarts the limitations period *only* if it is a clear, unequivocal acknowledgment of the specific debt.	advice before paying or writing anything on a debt >4 years old.
Federal Regulation F (\text{12 C.F.R. § 1006.26})	Prohibits debt collectors from suing or threatening to sue on time-barred debt.	Applies strictly to third-party collectors.
Federal FDCPA Validation (\text{15 U.S.C. § 1692g})	Requires collector to halt collection after timely written dispute until verification is mailed.	Applies to third-party collectors, not hospitals collecting under their own name.
FCRA Tradeline Disputes (\text{15 U.S.C. § 1681s-2(a)(3)} / \text{(b)})	Mandates reporting debt as disputed and conducting investigation upon notification.	File disputes directly with both credit bureaus and furnisher.
PA FCEUA (\text{73 P.S. § 2270.4} et seq.)	Covers original creditors (hospitals) and third-party collectors against unfair practices.	Violations trigger UTPCPL remedies under \text{73 P.S. § 2270.5(a)}, supporting potential private actions.
PA Wage Exemption (\text{42 Pa.C.S. § 8127})	Broadly protects wages in employer hands from attachment for ordinary debt.	Does not protect bank accounts or liquid assets once deposited.
Tenancy by the Entireties	Shields jointly owned marital property from individual debts of one spouse.	Does not protect joint debts; federal tax debts are a recognized exception.

PART 5: ITEMS FOR COUNSEL TO VERIFY BEFORE PUBLICATION

The following items require formal review by Pennsylvania legal counsel prior to public deployment:

1. **Holding & Reporter Citation:** Confirm holding and reporter citation for *Huntingdon Finance Corp. v. Newtown Artesian Water Co.*, 442 Pa. Super. 406 (1995). Use only after counsel confirms holding.
2. **Citation Verification:** *Cole v. Lawrence* (659 A.2d 1054 / 701 A.2d 987) could not be verified; removed from active consumer text until confirmed.
3. **PID Codified Section Number:** Verify the exact statutory codification number for the Act 146 of 2022 external review program under the Insurance Company Law.
4. **501(r) Regulation Subpart:** Confirm specific regulation subparts for the 120-day ECA restriction and 240-day FAP application window (\text{Treas. Reg. § 1.501(r)-6} vs. \text{§ 1.501(r)-5} vs. \text{§ 1.501(r)-1(b)(3)}).
5. **Accrual Rules for Medical Contracts:** Confirm exact Pennsylvania accrual triggers (contract breach vs. invoice default date vs. last payment date) for each specific account.
6. **FCRA Subsection Citation:** Confirm whether \text{15 U.S.C. § 1681s-2(a)(3)} or \text{(a)(8)} applies to direct furnisher dispute duties.
7. **FCEUA Limitation Period:** Confirm applicable statute of limitations for bringing

FCEUA/UTPCPL claims in Pennsylvania courts.

8. **Residential Rent Exception Citation:** Verify exact statutory citation for the 10% residential rent wage garnishment exception under \text{42 Pa.C.S. § 8127}.
9. **Pending Legislation Tracker:** Monitor HB 1731 (proposed 3-year limit for consumer debt suits in PA). *Note: Currently pending legislation; not enacted law.*

Summary of Revisions Applied

- **Partial Payment Caution:** Revised to highlight the fact-dependent nature of the common-law Acknowledgment Doctrine, emphasizing that whether a payment restarts the 4-year limit depends on specific facts (*Huntingdon Finance Corp.* holding pending counsel verification).
- **External Review Clarifications:** Aligned with the PID's 4-month request window from the final adverse determination letter, clarified stage timelines (5-day eligibility, 15-day record submission, 45-day decision), and appropriately framed historical overturn figures (~50.1%).
- **Template A, Paragraph 3:** Streamlined to focus strictly on non-acknowledgment of debt and dispute of balance without advancing unconfirmed legal claims about resetting limitation periods.
- **Statutory Matrix & Counsel Checklist:** Updated to include Regulation F ($12 C.F.R. §1006.26$), FCRA dispute obligations, FDCPA validation scope, wage/bank asset boundaries, and explicit "counsel to confirm" tags on citations and pending legislative tracking (HB 1731).

What specific area would you like to address next—such as resolving the Python test harness fixtures or reviewing payload schemas for work-order dispatch?